

Stepping up to address compute constraints

Surging AI spend should be viewed as a strategic positive; maintain Buy

A strong track record of delivering results from earlier investments

Tencent's largely *in-line 2Q results* underscore the tight supply of AI compute the company is currently navigating. AI-related investments for the period likely exceeded CNY100bn based on our calculation, encompassing CNY53bn in Capex (up 176% y-y) and an additional prepayment of CNY51bn to secure compute resources. We believe this considerable AI investment demonstrates Tencent's commitment to building indispensable infrastructure, positioning the company to compete effectively with peers such as ByteDance (unlisted) and Alibaba (BABA US, Buy). Furthermore, amid an industry-wide supply crunch in China, the surge in Tencent's AI spending this year indicates its capability to successfully procure necessary GPU resources, in our view. As management noted at its earnings call on 12 August, the recently secured compute resources could readily be leased through Tencent Cloud at a premium, providing a built-in safety net. Tencent has an established track record of incubating new initiatives into profitable growth drivers over time. Therefore, we remain constructive on Tencent's AI prospects, even though the current aggressive investment cycle will likely exert near-term pressure on earnings. Tencent's core businesses—including advertising, gaming, and fintech—continue to generate robust profits, which grew 19% y-y in 2Q when excluding investments into new AI products. We believe this strong cash flow from core operations offers meaningful downside protection for long-term investments, while AI monetization serves as a potential long-term catalyst. We trim our non-IFRS net profit estimate by 3% for 2026F by factoring in a higher Capex to CNY207bn, from CNY116bn. Our revised non-IFRS operating profit assumes modest growth of an average 2% y-y in 2H26F, vs. 9% growth in 1H26 as a result of ramped-up AI investment. We maintain Buy with our SOTP-based target lowered to HKD695 from HKD727, implying 19x FY27F P/E vs 13x currently.

WeChat agent has significant potential

Tencent is strategically investing in three key AI products: the Hunyuan large language model (LLM), the desktop agent WorkBuddy, and a yet-to-be-officially-launched WeChat agent. We are particularly positive on the prospects of the WeChat agent, which could serve as an intelligent connector between WeChat's one billion-plus users and its vast network of service providers. *(continued on page 4...)*

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	751,766	827,308	828,758	905,255	906,945	989,061	991,030
Reported net profit (mn)	224,842	229,418	225,473	247,467	241,677	272,640	263,452
Normalised net profit (mn)	259,626	274,240	265,699	297,871	285,090	329,195	310,638
FD normalised EPS	27.89	29.76	28.83	32.65	31.25	36.45	34.39
FD norm. EPS growth (%)	18.6	6.7	3.4	9.7	8.4	11.6	10.1
FD normalised P/E (x)	15.3	—	13.8	—	12.7	—	11.5
EV/EBITDA (x)	14.0	—	12.5	—	11.5	—	10.2
Price/book (x)	3.3	—	2.6	—	2.3	—	2.0
Dividend yield (%)	1.1	—	1.2	—	1.3	—	1.4
ROE (%)	21.1	18.1	17.9	16.7	16.5	16.1	15.7
Net debt/equity (%)	9.7	1.5	8.5	net cash	1.7	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains **Buy**

Target price Reduced from HKD 727.00 **HKD 695.00**

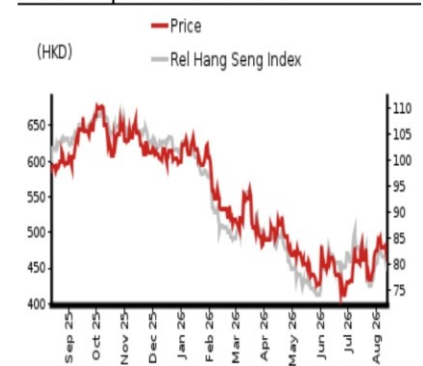
Closing price 12 August 2026 **HKD 461.60**

Implied upside **+50.6%**

Market Cap (USD mn) 534,311.8

ADT (USD mn) 1,913.6

Relative performance chart



Source: LSEG, Nomura

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Key data on Tencent Holdings

Performance

(%)	1M	3M	12M		
Absolute (HKD)	0.3	1.0	-17.5	M cap (USDmn)	534,311.8
Absolute (USD)	0.2	0.7	-17.5	Free float (%)	60.0
Rel to Hang Seng Index	-4.9	4.4	-19.4	3-mth ADT (USDmn)	1,913.6

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	660,257	751,766	828,758	906,945	991,030
Cost of goods sold	-311,011	-329,173	-356,299	-388,943	-426,407
Gross profit	349,246	422,593	472,460	518,002	564,624
SG&A	-121,919	-143,143	-182,327	-210,411	-225,955
Employee share expense	-27,230	-34,711	-31,493	-34,464	-37,659
Operating profit	200,097	244,739	258,640	273,127	301,009
EBITDA	256,310	310,767	324,941	345,682	380,292
Depreciation	-27,332	-32,799	-24,863	-27,208	-29,731
Amortisation	-28,881	-33,229	-41,438	-45,347	-49,552
EBIT	200,097	244,739	258,640	273,127	301,009
Net interest expense	3,557	3,453	4,464	4,687	4,922
Associates & JCEs	25,176	23,740	2,000	18,829	18,829
Other income	8,468	-4,851	3,900	3,600	3,600
Earnings before tax	237,298	267,081	269,004	300,243	328,360
Income tax	-45,018	-47,448	-54,531	-58,566	-63,908
Net profit after tax	192,280	219,633	214,473	241,677	264,452
Minorities	-2,394	-4,959	-7,000	-8,000	-9,000
Other items	32,817	44,952	58,226	51,414	55,187
Preferred dividends					
Normalised NPAT	222,703	259,626	265,699	285,090	310,638
Extraordinary items	-28,630	-34,784	-40,226	-43,414	-47,187
Reported NPAT	194,073	224,842	225,473	241,677	263,452
Dividends	-37,907	-44,041	-42,755	-46,338	-51,001
Transfer to reserves	156,166	180,801	182,719	195,338	212,451

Valuations and ratios

Reported P/E (x)	20.8	17.6	16.2	15.0	13.6
Normalised P/E (x)	18.1	15.3	13.8	12.7	11.5
FD normalised P/E (x)	18.1	15.3	13.8	12.7	11.5
Dividend yield (%)	1.0	1.1	1.2	1.3	1.4
Price/cashflow (x)	15.6	13.1	11.8	9.5	10.2
Price/book (x)	4.1	3.3	2.6	2.3	2.0
EV/EBITDA (x)	17.0	14.0	12.5	11.5	10.2
EV/EBIT (x)	21.7	17.8	15.7	14.5	12.9
Gross margin (%)	52.9	56.2	57.0	57.1	57.0
EBITDA margin (%)	38.8	41.3	39.2	38.1	38.4
EBIT margin (%)	30.3	32.6	31.2	30.1	30.4
Net margin (%)	29.4	29.9	27.2	26.6	26.6
Effective tax rate (%)	19.0	17.8	20.3	19.5	19.5
Dividend payout (%)	19.5	19.6	19.0	19.2	19.4
ROE (%)	21.8	21.1	17.9	16.5	15.7
ROA (pretax %)	14.8	15.1	12.9	13.0	13.2

Growth (%)

Revenue	8.4	13.9	10.2	9.4	9.3
EBITDA	19.6	21.2	4.6	6.4	10.0
Normalised EPS	44.5	18.6	3.4	8.4	10.1
Normalised FDEPS	44.5	18.6	3.4	8.4	10.1

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	256,310	310,767	324,941	345,682	380,292
Change in working capital	22,863	-20,825	-15,054	61,170	-7,977
Other operating cashflow	-20,652	13,110	371	-26,463	-21,464
CF from operations	258,521	303,052	310,258	380,389	350,850
Capital expenditure	-62,927	-87,482	-207,190	-181,389	-148,655
Free cashflow	195,594	215,570	103,069	199,000	202,196
Reduction in investments	-6,994	-43,824	0	0	0
Net acquisitions					
Dec in other LT assets	-180,662	-79,119	-61,422	-62,493	-63,608
Inc in other LT liabilities	-17,721	158	21,834	24,848	28,298
Adjustments	146,117	4,535	-24,052	-28,730	-34,009
CF after investing acts	136,334	97,320	39,429	132,624	132,877
Cash dividends	-31,244	-39,907	-44,041	-42,755	-46,338
Equity issue	1,932	2,721	0	0	0
Debt issue	-107	-107	0	0	0
Convertible debt issue	0	0	0	0	0
Others	-146,716	-51,505	0	0	0
CF from financial acts	-176,135	-88,798	-44,041	-42,755	-46,338
Net cashflow	-39,801	8,522	-4,612	89,869	86,538
Beginning cash	172,320	132,519	141,041	136,429	226,299
Ending cash	132,519	141,041	136,429	226,299	312,837
Ending net debt	76,123	112,156	116,768	26,898	-59,640

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	132,519	141,041	136,429	226,299	312,837
Marketable securities	192,977	236,801	236,801	236,801	236,801
Accounts receivable	48,203	49,930	54,516	59,784	65,113
Inventories	440	530	530	530	530
Other current assets	122,041	167,158	167,158	167,158	167,158
Total current assets	496,180	595,460	595,435	690,571	782,440
LT investments	0	0	0	0	0
Fixed assets	80,185	149,905	332,232	486,412	605,336
Goodwill					
Other intangible assets	196,127	205,999	193,568	179,963	165,098
Other LT assets	1,008,503	1,087,622	1,149,044	1,211,537	1,275,144
Total assets	1,780,995	2,038,986	2,270,278	2,568,484	2,828,018
Short-term debt	52,885	42,618	42,618	42,618	42,618
Accounts payable	118,712	121,127	93,628	140,803	116,209
Other current liabilities	225,312	249,006	266,037	285,299	307,246
Total current liabilities	396,909	412,751	402,284	468,721	466,073
Long-term debt	149,521	208,369	208,369	208,369	208,369
Convertible debt	6,236	2,210	2,210	2,210	2,210
Other LT liabilities	174,433	174,591	196,425	221,272	249,570
Total liabilities	727,099	797,921	809,288	900,572	926,222
Minority interest	80,348	86,913	93,913	101,913	110,913
Preferred stock					
Common stock	81,518	143,716	143,716	143,716	143,716
Retained earnings	854,123	966,395	1,180,607	1,375,945	1,596,166
Proposed dividends	37,907	44,041	42,755	46,338	51,001
Other equity and reserves					
Total shareholders' equity	973,548	1,154,152	1,367,077	1,565,999	1,790,883
Total equity & liabilities	1,780,995	2,038,986	2,270,278	2,568,484	2,828,018

Liquidity (x)

Current ratio	1.25	1.44	1.48	1.47	1.68
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	0.30	0.36	0.36	0.08	net cash
Net debt/equity (%)	7.82	9.72	8.54	1.72	net cash

Per share

Reported EPS (CNY)	20.49	24.15	24.47	26.49	29.17
Norm EPS (CNY)	23.51	27.89	28.83	31.25	34.39
FD norm EPS (CNY)	23.51	27.89	28.83	31.25	34.39
BVPS (CNY)	105.03	127.04	150.48	172.37	197.13
DPS (CNY)	4.09	4.85	4.71	5.10	5.61

Activity (days)

Days receivable	26.2	23.8	23.0	23.0	23.1
Days inventory	0.5	0.5	0.5	0.5	0.5
Days payable	128.9	133.0	110.0	110.0	110.3
Cash cycle	-102.2	-108.6	-86.5	-86.5	-86.8

Source: Company data, Nomura estimates

Company profile

Tencent provides a wide range of services, including gaming (including PC games and mobile games), other value added services (e.g. video entertainment), online advertising, fintech and business services (including payment and cloud services). Tencent also operates WeChat, China's largest messaging app.

Valuation Methodology

We value Tencent's online gaming business at USD266bn (FY27F P/E of 15x), online advertising business at USD259bn (FY27F P/E of 18x), Fintech business at USD144bn (FY27F P/E of 12x), and Cloud business at USD64bn (FY27F P/S of 6x). We value investees at USD65bn. The resulting TP is HKD695. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price

Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

ESG

Tencent's business is environmental friendly as it does not cause pollution or generate greenhouse gas. Its social ecosystem is creating massive business opportunities for content creators and merchants. Tencent maintains good corporate governance practices, including easy access for investors and proper disclosures.

(... continued from page 1)

Longer-term, we believe the WeChat agent is well-positioned to monetize by charging commissions for directing customer traffic to these service providers. We understand the WeChat agent will be powered by a foundation model being researched by the WeChat team rather than Tencent's already-well-developed Hunyuan model. Meanwhile, according to management, Tencent's WorkBuddy is gaining strong traction among white-collar professionals and students, aided by robust marketing campaigns. However, competition is intensifying as industry majors such as Alibaba and ByteDance have entered the space. While WorkBuddy currently enjoys a first-mover advantage, competitors possess the capabilities to make inroads, as the desktop agent market remains in its early stages.

Tencent's Hunyuan (Hy) LLM has delivered a positive surprise with its recent 3.0 iteration exceeding initial market expectations. However, the benchmark for Chinese LLMs has since been raised further by independent labs such as DeepSeek (unlisted) and Moonshot (unlisted). We expect Hy's next iteration, version 4—likely to be a large-parameter model—to be launched by October. We will closely monitor whether Hy 4 can narrow the performance gap with state-of-the-art alternatives.

From a strategic standpoint, we question Tencent's decision to let its WeChat and Hy team to research on two separate foundational models. In light of the fierce competition in the LLM market and the aforementioned constraints on compute resources, we believe it would be more capital-efficient for Tencent to concentrate its resources on a single foundational model, rather than adopting a redundant parallel-development strategy.

How does Tencent differ from Alibaba and ByteDance?

Tencent's 176% y-y surge in 2Q Capex reflects a broader industry trend of AI investment, but also highlights company-specific dynamics. Compared to its closest peers, Alibaba and ByteDance, Tencent appears to face more immediate pressure to scale its AI compute infrastructure, in our view. We believe the company's relative underinvestment in AI hardware in prior years has contributed to a more acute shortage of compute resources for both Tencent's new AI applications and its existing internet services.

Given limited GPU availability during this transition period, Tencent is prioritizing compute allocation across its businesses: foundation-model training takes precedence, followed by AI applications and existing internet services, while external cloud demand, i.e. the GPU rentals service, ranks lower. However, we do not view GPU rentals as inherently "low value".

For hyperscalers like AliCloud and ByteDance's Volcano Engine, GPU rental service acts as a highly effective customer-acquisition tool, enabling the subsequent cross-selling of higher-margin AI products and Model-as-a-Service (MaaS) offerings. Alibaba and ByteDance have successfully utilized this strategy to drive external adoption of their respective model ecosystems (Qwen and Doubao/Seedance). Consequently, MaaS-related revenue is growing rapidly for both competitors, whereas Tencent remains internally focused on refining its foundation models and proprietary AI applications to a level where they can be commercialized at scale.

Fig. 1: Tencent – 2Q26 results review

2Q26 results review										
CNYmn	2Q26	1Q25	2Q25	YoY	QoQ	Cons.	vs. Cons.	NMR Est.	vs NMR	
Revenues	204,785	196,458	184,504	11%	4%	202,843	1.0%	203,017	0.9%	
Gross profit	118,433	111,265	105,013	13%	6%	115,629	2.4%	117,372	0.9%	
Gross margin	57.8%	56.6%	56.9%	0.9ppt	1.2ppt	57.0%	0.8ppt	57.8%	0.0ppt	
Non-IFRS op	75,636	75,627	69,248	9%	0%	75,662	0.0%	75,358	0.4%	
Non-IFRS op margin	36.9%	38.5%	37.5%	-0.6ppt	-1.6ppt	37.3%	-0.4ppt	37.1%	-0.2ppt	
Non-IFRS net profit	68,415	67,905	63,052	9%	1%	68,227	0.3%	67,014	2.1%	
Non-IFRS net margin	33.4%	34.6%	34.2%	-0.8ppt	-1.2ppt	33.6%	-0.2ppt	33.0%	0.4ppt	
Non-IFRS EPS (CNY)	7.43	7.36	6.79	9%	1%	7.46	-0.4%	7.30	1.9%	

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Tencent – revenue mix

Revenue mix								
CNYmn	2Q26	1Q25	2Q25	YoY	QoQ	NMR Est.	vs NMR	% of total rev.
Value Added Service (VAS)	98,414	96,110	91,368	8%	2%	98,427	0%	48%
Online gaming business	65,900	64,200	59,200	11%	3%	65,298	1%	32%
Incl. domestic online gaming	47,300	45,400	40,400	17%	4%	44,994	5%	23%
overseas online gaming	18,600	18,800	18,800	-1%	-1%	20,304	-8%	9%
Marketing Services	43,565	38,171	35,762	22%	14%	42,199	3%	21%
FinTech and Business Services	60,286	59,885	55,536	9%	1%	60,534	0%	29%
Others	2,520	2,292	1,838	37%	10%	1,856	36%	1%
Total revenue	204,785	196,458	184,504	11%	4%	203,017	1%	100%

Source: Company data, Nomura estimates

Fig. 3: Tencent – Revisions to our earnings estimates

Nomura new estimates vs old						
(CNYmn except for EPS)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenues	828,758	827,308	0%	906,945	905,255	0%
Gross profit	472,460	473,111	0%	518,002	521,321	-1%
Gross margin	57.0%	57.2%	-0.2ppt	57.1%	57.6%	-0.5ppt
Non-IFRS op	296,243	298,913	-1%	313,117	323,199	-3%
Non-IFRS op margin	35.7%	36.1%	-0.4ppt	34.5%	35.7%	-1.2ppt
Non-IFRS net profit	265,699	274,240	-3%	285,090	297,871	-4%
Non-IFRS net margin	32.1%	33.1%	-1.1ppt	31.4%	32.9%	-1.5ppt
Non-IFRS EPS (CNY)	28.83	29.76	-3%	31.25	32.65	-4%

Source: Nomura estimates

Fig. 4: Tencent – SOTP valuation

USD mn unless otherwise stated	Market cap	Stake	Attributable valuation	Note
Core business				
Online gaming	265,899	100%	265,899	15x FY27F P/E (18x FY26F P/E previously)
Advertising	259,268	100%	259,268	18x FY27F P/E to capture Tencent's potential in search and short video ads (20x FY26F P/E previously)
Fintech	143,788	100%	143,788	12x FY27F P/E (15x FY26F P/E previously)
Tencent Cloud	64,377	100%	64,377	6x FY27F P/S (5x FY27F P/S previously)
Total			733,331	
Gross value from investees			130,597	
Holding discount			50%	
Attributable value from investees			65,299	
Total EV			798,630	
Net Cash			8,685	
Target market cap			807,315	
Share counts			9,124	
Target price (HKD)			695	

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Tencent Holdings	700 HK	HKD 461.60	12-Aug-2026	Buy	N/A	A1,A3,A10
Alibaba Group Holding	BABA US	USD 125.22	12-Aug-2026	Buy	N/A	A10

A1 The Nomura Group has received compensation for non-investment banking products or services from the subject company in the past 12 months.

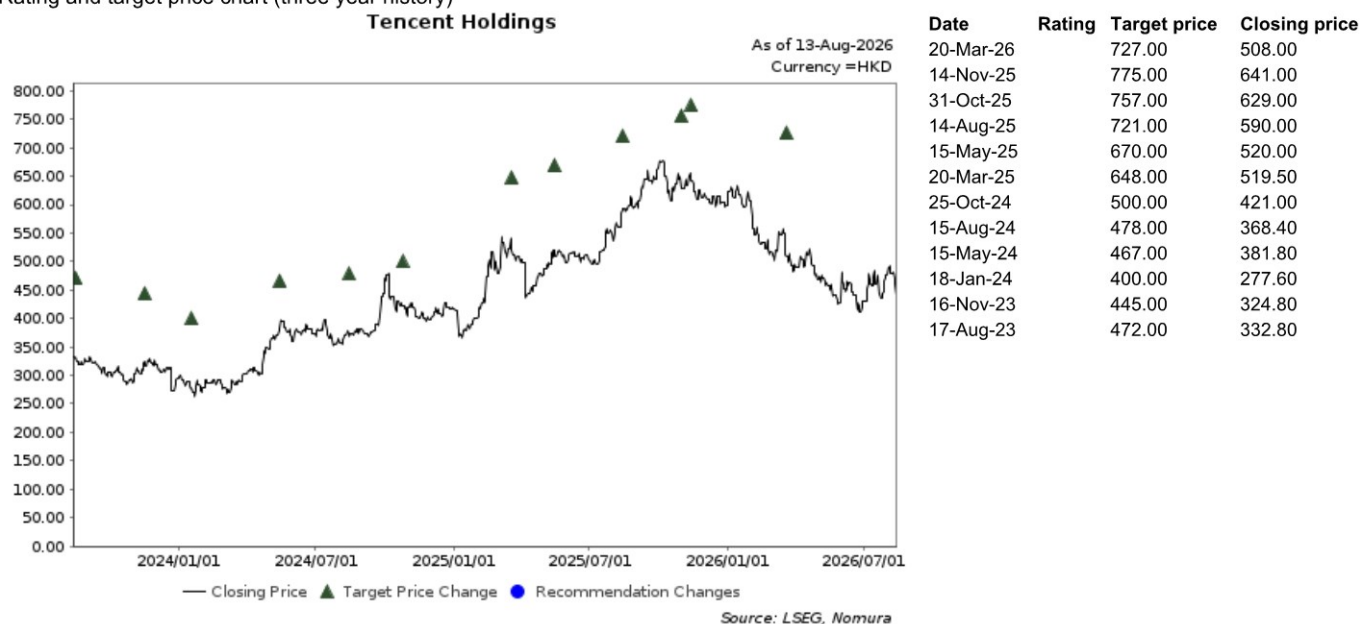
A3 The Nomura Group has had a non-securities related services client relationship with the subject company during the past 12 months.

A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

Tencent Holdings (700 HK)

HKD 461.60 (12-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

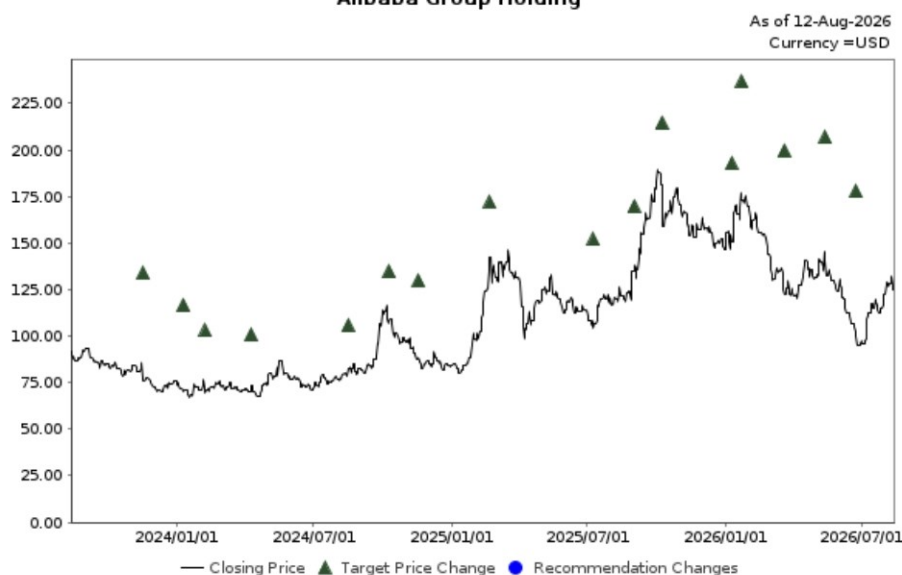
Valuation Methodology We value Tencent's online gaming business at USD266bn (FY27F P/E of 15x), online advertising business at USD259bn (FY27F P/E of 18x), Fintech business at USD144bn (FY27F P/E of 12x), and Cloud business at USD64bn (FY27F P/S of 6x). We value investees at USD65bn. The resulting TP is HKD695. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

Alibaba Group Holding (BABA US)

USD 125.22 (12-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Alibaba Group Holding

Date	Rating	Target price	Closing price
24-Jun-26		178.00	99.80
14-May-26		207.00	141.12
20-Mar-26		200.00	122.41
23-Jan-26		237.00	173.23
09-Jan-26		193.00	150.96
08-Oct-25		215.00	181.12
01-Sep-25		170.00	135.00
09-Jul-25		152.00	103.83
21-Feb-25		172.00	142.62
18-Nov-24		130.00	88.65
10-Oct-24		135.00	108.42
16-Aug-24		106.00	82.52
09-Apr-24		101.00	71.80
08-Feb-24		103.00	69.63
10-Jan-24		117.00	70.25
17-Nov-23		134.00	76.34

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD89bn, based on 5x FY27F P/E; its AliCloud business at USD270bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

Important Disclosures

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As at 30 June 2026.

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